Question #1 of 120

Question ID: 1214666

Questions 1 through 18 relate to Ethical and Professional Standards. (27 minutes)

Which of the following statements about ethical behavior is *most accurate*?

A) Legal standards typically set a higher standard of behavior than ethical standards.

B) Personal traits are the most important determinant of the ethical quality of one's behavior.

C) Unethical behavior in the investment industry increases the cost of capital for businesses.

Question #2 of 120

Question ID: 1214672

While at dinner a member overhears a well-known and influential analyst from a different firm tell his companion that he will be raising his recommendation on Tree Products from hold to buy when he appears on a morning talk show the next day. Before the broadcast, the member buys 1,000 shares of Tree Products for her own account. The member has violated the Standard relating to:

A) fair dealing.

B) diligence and reasonable basis.

C) material nonpublic information.

Question #3 of 120

Question ID: 1214668

Allen Winkler, CFA, recently had lunch with Kim Thompson, a former professor of his, who told him of a new valuation model she had developed. Winkler recreated Thompson's model with some revisions and back-tested it using data provided by Standard & Poor's (S&P) with impressive results. Winkler's firm launches a mutual fund based on the revised model, and Winkler provides a discussion of the principles underlying the model and the test results. Is Winkler required to credit Thompson for having developed the model and S&P as the source of the data?

A) Both of these sources must be cited.

B) Neither of these sources must be cited.

C) Only one of these sources must be cited.

Question #4 of 120

Question ID: 1214679

Donald Smith, CFA, has been assigned by his employer to write a report for clients on Braden Corporation. Smith has 1,000 shares of Braden that he bought three years ago and has been discussing a consulting contract with Braden to write guidelines for their investor relations department. If Smith writes the report on Braden Corporation, he must disclose within the report:

A) both his ownership of Braden shares and his prospective consulting work.

B) and to his employer his prospective consulting work but not his ownership of Braden shares.

C) his ownership of Braden shares but need only disclose his prospective consulting work to his employer.

Question #5 of 120

Question ID: 1214673

Fran Lester, CFA, works for a broker based in a country in which participation in any IPO is permitted with her employer's permission. She lives and works in a country that has no restrictions on her participation in IPOs. If Lester's firm is distributing shares of an oversubscribed IPO through the office Lester works in, can Lester receive shares in the IPO?

A) No, not under any circumstances.

B) Yes, but she must obtain permission from her employer.

C) Yes, because the applicable law is that of her home country.

Question #6 of 120

Question ID: 1214675

Diane Harris, a CFA Institute member, is a portfolio manager for Worldwide Investments. One of her clients has offered her the use of his condominium in Hawaii if the returns on his U.S. equities account beat their benchmark on a risk-adjusted basis. Harris informed her manager of all terms of this agreement in writing and received verbal consent to the arrangement before accepting the offer. Did Harris violate the Standards?

A) Yes, because written consent from her employer is required.

B) No, because bonuses from clients for doing her job well do not create a conflict of interest.

C) No, because Harris notified and received verbal consent from her employer to enter the arrangement.

Question #7 of 120

Question ID: 1214682

Four years ago, American Securities discontinued its international small-cap investment strategy and terminated the GIPS composite for presenting its performance. To comply with GIPS, does American Securities still need to offer a compliant presentation for this composite?

A) Yes.

B) No, because the composite was terminated more than three years ago.

C) No, because the composite does not reflect an investment strategy that the firm offers to clients.

Question #8 of 120

Question ID: 1214677

Betty Cantor, CFA, has been finishing a report on high-tech firm HLC Corporation and intends to give it a "market perform" rating. Before releasing the report, she speaks with Donald Watson, her former manager and mentor, who is now with another investment firm and is well known for his great calls on high-tech companies. Watson is bullish on HLC and tells Cantor that "HLC is going to increase for sure over the next year, and we have it as a buy." Cantor changes her rating on HLC to "outperform" based on Watson's comments. Cantor has:

A) not violated the Standards because she knows the high quality of Watson’s analysis.
B) violated the Standards because she based her rating on material nonpublic information.
C) violated the Standards because she does not have a reasonable basis for her recommendation.

Question #9 of 120

Question ID: 1214678

Tom Hayes, CFA, changed firms recently, becoming the senior analyst at Balcom Management. He had earned a great reputation at his old firm with his analysis of Selldex, which doubled in value after his recommendation. Because he still likes Selldex, Hayes recreates from public sources the records and analysis he did at his previous employer and issues a report on Selldex with a "buy" rating. Hayes has:

A) not violated the Standards.
B) violated the Standards because the analysis he did for his previous employer belongs to his previous employer.
C) violated the Standards because his analysis is based on previous research and not independent of his prior analysis.

Question #10 of 120

Question ID: 1214681

The CFA Institute Code of Ethics *most likely* requires members and candidates to:

A) not engage in activity which compromises the integrity of CFA Institute.
B) stay informed on applicable laws and regulations that pertain to their respective areas of business.
C) act with competence, integrity, and in ethical manner when dealing with the public, clients, employers, employees, and other market participants.

Question #11 of 120

Question ID: 1214676

Craig Boone, CFA, a fixed-income trader, observes that one of the salesmen on the desk has been allocating his trades at the end of the day, giving better execution to large clients, a practice Boone suspects is illegal. The salesman tells Boone this is a common practice and that the firm's senior management is aware of it. If Boone makes a personal record of the activity, takes it home for his personal files, and subsequently reveals it to regulatory authorities, he would:

A) not be in violation of any Standards.
B) be in violation of the Standards for disclosing confidential information.
C) be in violation of the Standards for breaching his duty of loyalty to his employer.

Question #12 of 120

Question ID: 1214669

Lynn Black, CFA, is an analyst with the underwriter for an upcoming issue of Mtex Software debentures. Black learns from an employee in Mtex's programming department that there is a serious problem with Mtex's newest software program and that many customers have canceled their orders with Mtex. There is no mention of these problems in the prospectus for the debentures, which has been circulated. According to the CFA Institute Standards of Professional Conduct, Black's *best* course of action is to:

A) inform her supervisor of her discovery.
B) take no action because this is material nonpublic information.
C) notify potential investors of the omission on a fair and equitable basis.

Question #13 of 120

Question ID: 1214667

Sanctions that may be imposed on members by CFA Institute include:

A) public censure, suspension of membership, and fines.
B) suspension of membership, revocation of CFA charter, and fines.
C) public censure, suspension of membership, and revocation of CFA charter.

Question #14 of 120

Question ID: 1214680

Mary Walters, CFA, is a bank trust officer who has entered into a referral agreement with Bob Sear, a tax attorney. Sear has told Walters that he will do her tax work in return for referrals. According to the CFA Institute Code and Standards, Walters must disclose:

A) only the fact that she compensated for referrals, to any clients or prospects she refers to Sear.
B) only the fact that she is compensated for referrals, to her employer and any clients or prospects she refers to Sear.
C) the fact that she is compensated for the referrals and the nature of the compensation she is to receive, to her employer and any clients or prospects she refers to Sear.

Question #15 of 120

Question ID: 1214670

Ronaldo Jenkins, CFA, chief investment officer for Windwatch Advisors, has been helping his local municipality find an investment bank for a bond issue. Jenkins was told in confidence that one investment bank, which is a subsidiary of a commercial bank held in Windwatch client portfolios, is experiencing financial difficulties and will be shut down soon. According to the CFA Institute Standards of Professional Conduct, Jenkins is *least likely* permitted to:

A) share the information received about the investment bank with his compliance officer.

B) share the information received about the investment bank with Windwatch's head of equity investments.

C) approach the investment bank about making public disclosure of the financial difficulties and pending closure.

Question #16 of 120

Question ID: 1214674

Morton Crane, CFA, is a portfolio manager. Crane has just been informed by his compliance officer that a new law will require additional disclosures of personal client information to regulators for two of Crane's former clients and one of his current clients. Crane decides to comply with the new law and provide the required client information. Has Crane violated CFA Institute Standards of Professional Conduct?

A) No.

B) Yes, because he disclosed confidential information about a former client.

C) Yes, because he disclosed confidential information about a current client.

Question #17 of 120

Question ID: 1214671

While visiting Cassori Company, Mark Ramsey, CFA, overhears management make comments that are not public information but are not really meaningful by themselves. Combining this information with his own analysis and other outside sources, Ramsey decides to change his recommendation on Cassori from "Buy" to "Sell." According to the CFA Institute Standards of Professional Conduct, Ramsey:

A) must not issue his report until Cassori's management makes their comments public.

B) may issue his "Sell" report because the facts are nonmaterial, but should maintain a file of the facts and documents leading to this conclusion.

C) must report these events to his immediate supervisor and legal counsel, since they have become material in combination with his analysis.

Question #18 of 120

Question ID: 1214683

Compliance with the Global Investment Performance Standards *least likely* requires firms to:

A) include all fee-paying and non-fee-paying accounts in at least one composite.

B) document in writing the policies and procedures used to comply with GIPS.

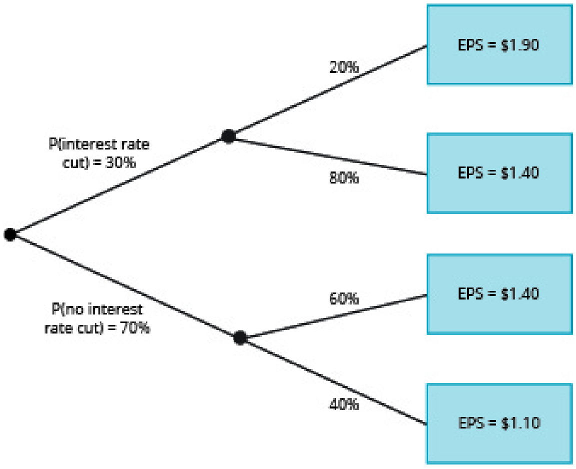
C) specifically define what constitutes the firm that is claiming compliance.

Question #19 of 120

Question ID: 1214691

Questions 19 through 30 relate to Quantitative Methods. (18 minutes)

Based on the tree diagram below:



The expected earnings per share is *closest* to:

A) $1.33.

B) $1.35.

C) $1.37.

Question #20 of 120

Question ID: 1214686

An investor holds a portfolio consisting of one share of each of the following stocks:

Stock	Price at the Beginning of the Year	Price at the End of the Year	Cash Dividend During the Year
A	$10	$20	$0
B	$50	$60	$1
C	$100	$110	$4

For the 1-year holding period, the portfolio total return is *closest* to:

A) 15.79%.

B) 18.42%.

C) 21.88%.

Question #21 of 120

Question ID: 1214685

Which of the following measurement scales provides the *least* information?

A) Ratio.

B) Ordinal.

C) Nominal.

Question #22 of 120

Question ID: 1214687

An analyst observes the following four annual returns: R_1 = +10%, R_2 = –15%, R_3 = 0%, and R_4 = +5%. The average compound annual rate over the four years is *closest* to:

A) –5.0%.

B) –0.5%.

C) 0.0%.

Question #23 of 120

Question ID: 1214688

Given the observations 45, 20, 30, and 25, the mean absolute deviation is *closest* to:

A) 0.0.

B) 7.5.

C) 13.3.

Question #24 of 120

Question ID: 1214692

An investor wants to buy a condominium in Florida. The value of her portfolio is currently $1,000,000, and she needs $100,000 in one year for the down payment. She doesn't mind decreasing her capital as long she has $950,000 remaining in her portfolio after the down payment is made. She is considering two new portfolios for her holdings. The details on the two portfolios are:

	Expected Annual Return	Standard Deviation of Returns
Portfolio 1	17%	15%
Portfolio 2	12%	10%
Portfolio 3	8%	6%

According to Roy's Safety-First criterion, the portfolio she would prefer is:

A) Portfolio 1.

B) Portfolio 2.

C) Portfolio 3.

Question #25 of 120

Question ID: 1214684

An investor would like to purchase a 20-year annuity that will pay $45,000 each year beginning when she retires 15 years from now. The amount she would need to invest today to fund this annuity, assuming an annual return of 5%, in order fund this annuity, is *closest* to:

A) $269,750.
B) $274,340.
C) $283,240.

Question #26 of 120

Question ID: 1214693

Adam Farman has been asked to estimate the volatility of a technology stock index. He has identified a statistic which has an expected value equal to the population volatility and has determined that increasing his sample size will decrease the sampling error for this statistic. Based only on these properties, his statistic can *best* be described as:

A) unbiased and efficient.
B) unbiased and consistent.
C) efficient and consistent.

Question #27 of 120

Question ID: 1214689

According to Chebyshev's inequality, the minimum proportion of observations falling within three standard deviations of the mean for a negatively skewed distribution is *closest* to:

A) 68%.
B) 75%.
C) 89%.

Question #28 of 120

Question ID: 1214690

The following table summarizes the results of a poll taken of CEOs and analysts about the economic impact of a pending piece of legislation:

Group	Number of Respondents who Predict Positive Impact	Number of Respondents who Predict Negative Impact
CEOs	40	30
Analysts	70	60

What is the probability that a randomly selected individual from this group will be either an analyst or someone who thinks this legislation will have a positive impact on the economy?

A) 0.75.
B) 0.80.

C) 0.85.

Question #29 of 120

Question ID: 1214694

A researcher has investigated the returns over the last five years to a long-short strategy based on mean reversion in equity returns volatility. His hypothesis test led to rejection of the hypothesis that abnormal (risk-adjusted) returns to the strategy over the period were less than or equal to zero at the 1% level of significance. He would *most* appropriately decide that:

A) his firm should employ the strategy for client accounts because the abnormal returns are positive and statistically significant.

B) while the abnormal returns are highly significant statistically, they may not be economically meaningful.

C) as long as the estimated statistical returns are greater than the transactions costs of the strategy, his firm should employ the strategy for client accounts.

Question #30 of 120

Question ID: 1214695

Which of the following tests would generally be considered a nonparametric test?

A) Whether a sample is random or not.

B) Large sample test of the value of a population mean.

C) Value of the variance of a normal population.

Question #31 of 120

Question ID: 1214705

Questions 31 through 42 relate to Economics. (18 minutes)

Assume the exchange rate between the Trotter (TRT) and the Roeckl (RKL) is 5.50 TRT/RKL and the exchange rate between the Roeckl and the Passage (PSG) is 8.00 RKL/PSG. The cross rate between the PSG and the TRT is *closest* to:

A) 0.0227 PSG/TRT.

B) 0.6875 PSG/TRT.

C) 44.00 PSG/TRT.

Question #32 of 120

Question ID: 1214699

Which of the following statements about methods of calculating gross domestic product is *most accurate*?

A) Except for a statistical discrepancy, the income and expenditure approaches to calculating GDP should result in the same value for economic output.

B) Because it includes activity at all stages of production, the sum-of-value-added method results in a better estimate of GDP than the value-of-final-output method.

C) Value-of-final-output is used to calculate GDP under the expenditure approach, while sum-of-value-added is used to calculate GDP under the income approach.

Question #33 of 120

Question ID: 1214706

The J-curve, in the context of trade between two countries, refers to the fact that when the domestic country has a trade deficit:

A) appreciation of the domestic currency initially leads to a decrease in the trade deficit but will increase the trade deficit in the long term.

B) an increase in domestic inflation will initially increase the trade deficit but will decrease the trade deficit in the long term.

C) appreciation of the foreign currency will initially increase the trade deficit but will decrease the trade deficit in the long term.

Question #34 of 120

Question ID: 1214703

Which of the following organizations is the most focused on promoting economic growth and reducing poverty by offering both monetary and technical assistance?

A) World Bank.

B) World Trade Organization.

C) International Monetary Fund.

Question #35 of 120

Question ID: 1214701

The quantity theory of money states that in a full employment economy, any increase in the supply of money in excess of the rate of growth of real GDP will lead to a proportional increase in:

A) the price level.

B) velocity.

C) real GDP.

Question #36 of 120

Question ID: 1214707

Akor is a country that has chosen to use a conventional fixed peg arrangement as the country's exchange rate regime. Under this arrangement, Akor's exchange rate against the currency to which it pegs:

A) is market-determined.

B) will be equal to the peg rate.

C) may fluctuate around the peg rate.

Question #37 of 120

Question ID: 1214696

A plant manager observes the following relationship between hours of labor and units of output:

Labor hours	Units of output
1,400	140,000
1,500	150,000
1,600	165,000
1,700	175,000
1,800	180,000
1,900	170,000

At what quantity of labor hours does this plant first experience diminishing marginal returns to labor?

A) Between 1,400 and 1,500 hours.

B) Between 1,600 and 1,700 hours.

C) Between 1,800 and 1,900 hours.

Question #38 of 120

Question ID: 1214698

Which of the following statements about a monopolist is *most accurate*? A monopolist will:

A) maximize the average profit per unit sold.

B) charge the highest price for which it can sell its product.

C) produce where marginal revenue equals marginal cost.

Question #39 of 120

Question ID: 1214704

Which of the following objectives would a national government *most likely* pursue by placing restrictions on inflows of foreign capital?

A) Protecting domestic industries.

B) Supporting domestic asset prices.

C) Keeping domestic interest rates low.

Question #40 of 120

Question ID: 1214702

Under what conditions is inflation *most likely* to shift wealth from lenders to borrowers?

A) Only when inflation is unexpected.

B) Only when inflation is unexpected and negative.

C) When inflation is either unexpected or expected.

Question #41 of 120

Question ID: 1214697

The short-run supply curve for a firm under perfect competition is the firm's:

A) marginal cost curve above average total cost.

B) marginal cost curve above average variable cost.

C) average variable cost curve above marginal revenue.

Question #42 of 120

Question ID: 1214700

Long-run aggregate supply is *least likely* to be affected by changes in the:

A) prices of raw materials inputs.

B) quantity of labor in the economy.

C) level of technology.

Question #43 of 120

Question ID: 1214709

Questions 43 through 60 relate to Financial Reporting and Analysis. (27 minutes)

In accrual accounting, the matching principle states that:

A) an entity should recognize revenues only when received and expenses only when they are paid.

B) transactions and events producing cash flows are allocated only to time periods in which the cash flows occur.

C) expenses incurred to generate revenue are recognized in the same time period as the revenue.

Question #44 of 120

Question ID: 1214712

Listed equity securities held as assets that do not convey significant influence in the investee company must be reported at fair value through profit and loss under:

A) IFRS only.

B) U.S. GAAP only.

C) both IFRS and U.S. GAAP.

Question #45 of 120

Question ID: 1214708

The independent auditors of Shadydells, Inc., have determined that the company recorded operating leases that should have been capitalized. This is considered to be a material instance of noncompliance with applicable GAAP, but the financial statements are otherwise fairly presented. Which opinion are the auditors *most likely* to issue?

A) Adverse opinion.

B) Qualified opinion.

C) Unqualified opinion.

Question #46 of 120

Question ID: 1214714

An analyst gathers the following information:

Net income	$100
Decreased in accounts receivable	30
Depreciation	25
Increase in inventory	17
Increase in accounts payable	10
Decrease in wages payable	5
Increase in deferred taxes	17
Sale of fixed assets	150
Purchase of fixed assets	340
Profit from sale of fixed assets	5
Dividends paid out	35
Sale of new common stock	120

Based on the above information, the company's cash flow from operations under U.S. GAAP is:

A) $155.

B) $165.

C) $182.

Question #47 of 120

Question ID: 1214713

Which of the following statements about cash flow is *least accurate*? Under U.S. GAAP, cash flow from:

A) operations includes cash operating expenses and changes in working capital accounts.

B) financing includes the proceeds of debt issued and from the sale of the company’s common stock.

C) investing includes interest income from investment in debt securities.

Question #48 of 120

Question ID: 1214710

An analyst gathered the following data about a company:

- The company had 500,000 shares of common stock outstanding for the entire year.
- The company's beginning stock price was $40, its ending price was $60, and its average price over the year was $50.
- The company has 120,000 warrants outstanding for the entire year.
- Each warrant allows the holder to buy one share of common stock at $45 per share.

How many shares of common stock should the company use in computing its diluted earnings per share?

A) 488,000.

B) 500,000.

C) 512,000.

Question #49 of 120

Question ID: 1214716

Books Forever, Inc., uses short-term bank debt to buy inventory. Assuming an initial current ratio that is greater than 1, and an initial quick (or acid test) ratio that is less than 1, what is the effect of these transactions on the current ratio and the quick ratio?

A) Both ratios will decrease.

B) Neither ratio will decrease.

C) Only one ratio will decrease.

Question #50 of 120

Question ID: 1214723

Under U.S. GAAP, a lessor will recognize the lease value as revenue and the carrying value of the asset as cost of goods sold if the lease is classified as:

A) an operating lease.

B) a sales-type lease.

C) a direct financing lease.

Question #51 of 120

Question ID: 1214711

Which of the following types of items are *least likely* included in other comprehensive income?

A) Losses under the revaluation model.
B) Unrealized gains on equity securities.
C) Realized gains on securities classified as available-for-sale.

Question #52 of 120

Question ID: 1214718

Which of the following accounting practices is *most likely* to decrease reported earnings in the current period?

A) Using the straight-line method of depreciation instead of an accelerated method.
B) Capitalizing advertising expenses rather than expensing them in the current period.
C) Using LIFO inventory cost methods during a period of rising prices.

Question #53 of 120

Question ID: 1214725

Which of the following pairs of general categories are *least likely* to be considered in the formulas used by credit rating agencies to determine the capacity of a borrower to repay a debt?

A) Operational efficiency; leverage.
B) Margin stability; availability of collateral.
C) Leverage; scale and diversification.

Question #54 of 120

Question ID: 1214715

A common-size cash flow statement is *least likely* to show each cash inflow as a percentage of:

A) revenue.
B) all cash inflows.
C) total cash flows.

Question #55 of 120

Question ID: 1214724

During a period when net income is unexpectedly weak, managers who attempt to smooth earnings are *most likely* to:

A) capitalize an expense.
B) capitalize a new lease.
C) classify a nonrecurring gain as recurring income.

Question #56 of 120

Question ID: 1214720

Which of the following definitions used in accounting for income taxes is *least accurate*?

A) Income tax expense is current period taxes payable adjusted for any changes in deferred tax assets and liabilities.

B) A valuation allowance is a reserve against deferred tax assets based on the likelihood that those assets will not be realized.

C) A deferred tax liability is created when tax expense is less than taxes payable and the difference is expected to reverse in future years.

Question #57 of 120

Question ID: 1214722

Under U.S. GAAP, which of the following statements about the financial statement effects of issuing bonds is *least accurate*?

A) Issuance of debt has no effect on cash flow from operations.

B) Periodic interest payments decrease cash flow from operations by the amount of interest paid.

C) Payment of debt at maturity decreases cash flow from operations by the face value of the debt.

Question #58 of 120

Question ID: 1214721

When an increase in the tax rate is enacted, deferred tax:

A) assets and liabilities both increase in value.

B) assets decrease in value and deferred tax liabilities increase in value.

C) liability and asset accounts are maintained at historical tax rates until they reverse.

Question #59 of 120

Question ID: 1214719

Under U.S. GAAP, an asset is considered impaired if its book value is:

A) less than its market value.

B) greater than the present value of its expected future cash flows.

C) greater than the sum of its undiscounted expected cash flows.

Question #60 of 120

Question ID: 1214717

In periods of rising prices and stable or increasing inventory quantities, compared with companies that use LIFO inventory accounting, companies that use the FIFO method will have:

A) higher COGS and lower taxes.

B) higher net income and higher taxes.

C) lower inventory balances and lower working capital.

Question #61 of 120

Question ID: 1214730

Questions 61 through 72 relate to Corporate Finance. (18 minutes)

Which of the following statements about the component costs of capital is *least accurate*?

A) The cost of common equity is the required rate of return on common stock.

B) The cost of preferred stock is the preferred dividend divided by the preferred's par value.

C) The after-tax cost of debt is based on the expected yield to maturity on newly issued debt.

Question #62 of 120

Question ID: 1214729

Project X has an internal rate of return (IRR) of 14%. Project Y has an IRR of 17%. Both projects have conventional cash flow patterns (all inflows after the initial cash outflow). If the required rate of return is:

A) 14%, the net present value (NPV) of Project Y will exceed the NPV of Project X.

B) greater than 17%, Project Y will have a shorter payback period than Project X.

C) 10%, both projects will have a positive NPV, and the NPV of Project Y will exceed the NPV of Project X.

Question #63 of 120

Question ID: 1214728

AlcoBanc owns a piece of property that is under consideration for a new bank branch. Which of the following is *least likely* a relevant incremental cash flow in analyzing a capital budgeting project? The:

A) interest costs of a loan for the property purchase.

B) business gained at other branches due to new customers at the proposed site.

C) $150,000 AlcoBanc could get if they sold the property instead of building a new branch.

Question #64 of 120

Question ID: 1214732

Jay Construction Company is considering whether to accept a new bridge-building project. Jay will use the pure-play method to estimate the cost of capital for the project, using Cass Bridge Builders as a comparable company. To calculate the project beta, Jay should:

A) estimate Cass's cost of equity capital and apply it to the project.

B) use the CAPM equation, substituting Cass's equity beta for its own.

C) adjust Cass's equity beta for any difference in leverage between Cass and Jay.

Question #65 of 120

Question ID: 1214735

Which of the following would *most likely* indicate deterioration of a firm's working capital management?

A) An increase in days of payables outstanding.

B) An increase in days of receivables outstanding.

C) A decreased amount of cash and cash equivalents.

Question #66 of 120

Question ID: 1214743

Under which of the following shareholder voting structures is a minority shareholder group *most likely* to achieve representation on a board of directors?

A) Majority voting.

B) Cumulative voting.

C) Supermajority voting.

Question #67 of 120

Question ID: 1214733

Pannonia Enterprises, Inc. (PEI) has a target capital structure of 40% debt with 60% equity. PEI's pretax cost of debt will remain at 9% until the firm raises more than $200,000 in new debt capital, at which point its pretax cost of debt will increase to 9.5%. PEI's cost of equity will increase when more than $400,000 in equity capital is raised. PEI's break point for debt capital is *closest* to:

A) $200,000.

B) $500,000.

C) $666,667.

Question #68 of 120

Question ID: 1214734

For a profitable company, issuing debt in order to retire common stock will *most likely*:

A) increase both net income and return on equity.

B) decrease both operating income and net income.

C) increase both the level and variability of return on equity.

Question #69 of 120

Question ID: 1214726

With respect to firms in the financial services industry, a conflict between the interests of shareholders and regulators is *best* illustrated by a shareholder preference for:

A) a decrease in the firm's equity capital.

B) a decrease in the firm's equity multiplier.

C) an increase in the value of a firm's equity.

Question #70 of 120

Question ID: 1214731

Given the following information on a company's capital structure and a marginal tax rate of 40%:

Type of Capital	Weight in Capital Structure	Before-Tax Component Cost
Bonds	40%	7.5%
Preferred stock	5%	11%
Common stock	55%	15%

The company's weighted average cost of capital is *closest to*:

A) 10.0%.

B) 10.6%.

C) 11.8%.

Question #71 of 120

Question ID: 1214736

McDermott Company routinely takes advantage of trade discounts on terms of 2/15 net 90. The cost of short-term borrowing for McDermott is 10.2%. If McDermott begins forgoing trade discounts and paying invoices on their due dates, this would *most likely*:

A) increase its cost of short-term funding.

B) improve its business relationships with its suppliers.

C) be viewed by analysts as efficient accounts payable management.

Question #72 of 120

Question ID: 1214727

Which of the following statements about corporate governance is *most accurate*?

A) Activist shareholders are likely to favor a policy of staggered board elections.

B) Effective control functions are likely to improve a company's operating and financial performance.

C) Dual class structures are used to align the interests of the board with the interests of the majority of shareholders.

Question #73 of 120

Question ID: 1214738

Questions 73 through 85 relate to Equity Investments. (19.5 minutes)

A financial market is said to be operationally efficient if:

A) transactions costs are low.

B) prices adjust quickly to new information.

C) it results in resources being allocated to their most productive uses.

Question #74 of 120

Question ID: 1214741

The weak form of the efficient market hypothesis (EMH) implies that:

A) no one can achieve abnormal returns using market information.

B) insiders, such as specialists and corporate board members, cannot achieve abnormal returns on average.

C) investors cannot achieve abnormal returns, on average, using technical analysis, after adjusting for transaction costs and taxes.

Question #75 of 120

Question ID: 1214739

Which of the following statements about alternative investment indexes is *most accurate*?

A) An investor can replicate a commodity index by making direct investments in the underlying physical commodities.

B) Real Estate Investment Trust indexes track the prices of shares of publicly traded companies that invest in mortgages or real property.

C) Hedge fund indexes accurately represent the investment performance of the hedge fund industry.

Question #76 of 120

Question ID: 1214745

The present value of an equity security's future cash flows is *most likely* to be significantly different from the company's:

A) book value per share.

B) market value per share.

C) intrinsic value per share.

Question #77 of 120

Question ID: 1214747

An analyst is valuing a company's perpetual preferred stock that pays a $6 annual dividend. The company's bonds currently yield 7.5% and preferred shares are selling to yield 75 basis points below the company's bond yield. The value of the preferred stock is *closest* to:

A) $72.

B) $80.

C) $89.

Question #78 of 120

Question ID: 1214737

An investor buys a stock at $32 a share and deposits 50% initial margin. Assume that the maintenance margin is 25%, the stock pays no dividends, and transaction costs and interest on the margin loan are zero. The price at which the investor would receive a margin call is *closest* to:

A) $16.

B) $21.

C) $24.

Question #79 of 120

Question ID: 1214748

The risk-free rate is 5%, and the expected return on the market index is 15%. A stock has a:

- Beta of 1.0.
- Dividend payout ratio of 40%.
- Return on equity (ROE) of 15%.

If the stock is expected to pay a $2.50 dividend, its intrinsic value using dividend discount model is *closest* to:

A) $27.77.

B) $41.67.

C) $53.33.

Question #80 of 120

Question ID: 1214746

Which of the following industries is *best* described as non-cyclical and defensive?

A) Energy.

B) Technology.

C) Consumer staples.

Question #81 of 120

Question ID: 1214742

Which of the following scenarios is inconsistent with efficient financial markets?

A) An analyst's buy recommendations have returned 2% more than the broad market index, on average.

B) Johnson, Inc. reports an increase of 8% in its earnings from a year earlier, and its stock price declines 5% on the news.

C) Earl Baker, an investor, earns consistently superior risk-adjusted returns by buying stocks when most investment advisors are pessimistic and selling stocks when most investment advisors are optimistic.

Question #82 of 120

Question ID: 1214744

The holder of the type of security that has a priority in liquidation less than that of bonds or promissory notes issued by the company but ahead of that of common stock is *most likely* to have:

A) no voting rights.

B) statutory voting rights.

C) cumulative voting rights.

Question #83 of 120

Question ID: 1214740

Transactions costs incurred from portfolio rebalancing are *most likely* to be highest for funds that track:

A) price-weighted indexes.

B) value-weighted indexes.

C) equal-weighted indexes.

Question #84 of 120

Question ID: 1214749

A stock that currently does not pay a dividend is expected to pay its first dividend of $1.00 five years from today. Thereafter, the dividend is expected to grow at an annual rate of 25% for the next three years and then grow at a constant rate of 5% per year thereafter. The required rate of return is 10.3%. The value of the stock today is *closest* to:

A) $20.65.

B) $22.72.

C) $23.87.

Question #85 of 120

Question ID: 1214750

Roger Gould, CFA, is analyzing the stock of Zero Incorporated and trying to determine which price multiple to use in his valuation. Zero, a start-up, had losses over the last 12 months and is projected to have a loss over the next 12 months. Zero has significant internally generated intangible assets and human capital that Gould would like to capture in his valuation. The price multiple that Gould should *most appropriately* use is the:

A) price-to-sales ratio.
B) price-to-book value.
C) price-to-earnings ratio.

Question #86 of 120

Question ID: 1214757

Questions 86 through 99 relate to Fixed Income. (21 minutes)

Asset-backed securities (ABS) may have a higher credit rating than the seller's corporate bonds because:

A) they are issued by a special purpose entity.
B) the seller's ABS are senior to its corporate bonds.
C) ABS are investment grade while corporate bonds may be speculative grade.

Question #87 of 120

Question ID: 1214759

All else equal, which of the following is *least likely* to increase the interest rate risk of a bond?

A) A longer maturity.
B) Inclusion of a call feature.
C) A decrease in the YTM.

Question #88 of 120

Question ID: 1214760

An investor with an investment horizon of 5 years has purchased a 15-year 6% coupon bond at par. The bond has a modified duration of 9.8. The duration gap for this investor is *closest* to:

A) –4.2.
B) 4.8.
C) 5.4.

Question #89 of 120

Question ID: 1214762

Which of the following assets is *most likely* to represent high-quality collateral in credit analysis?

A) Goodwill.

B) Trademarks.

C) Deferred tax assets.

Question #90 of 120

Question ID: 1214753

A company has two $1,000 face value bonds outstanding both selling for $701.22. The first issue has an annual coupon of 8% and 20 years to maturity. The second bond has the same yield to maturity as the first bond but has only five years remaining until maturity. The second issue pays interest annually as well. What is the annual interest payment on the second issue?

A) $18.56.

B) $27.18.

C) $37.12.

Question #91 of 120

Question ID: 1214761

If a bond has a convexity of 120 and a modified duration of 10, the convexity adjustment (to a duration-based approximation) associated with a 25 basis point interest rate decline is *closest* to:

A) –2.875%.

B) –2.125%.

C) +0.0375%.

Question #92 of 120

Question ID: 1214764

Recent economic data suggest an increasing likelihood that the economy will soon enter a recessionary phase. What is the *most likely* effect on the yields of lower-quality corporate bonds and on credit spreads of lower-quality versus higher-quality corporate bonds?

A) Both will increase.

B) Both will decrease.

C) One will increase and one will decrease.

Question #93 of 120

Question ID: 1214752

A supranational bond:

A) is issued by a multilateral agency.

B) trades outside the jurisdiction of any one country.

C) pays coupons in a different currency than its principal.

Question #94 of 120

Question ID: 1214763

If an investor wants only investment grade bonds in her portfolio, she would be *least likely* to purchase a:

A) 2-year municipal bond rated A–.

B) 3-year municipal bond rated BB.

C) 15-year, semiannual coupon corporate bond rated BBB.

Question #95 of 120

Question ID: 1214754

If the yield curve is downward-sloping, the no-arbitrage value of a bond calculated using spot rates will be:

A) equal to the market price of the bond.

B) less than the market price of the bond.

C) greater than the market price of the bond.

Question #96 of 120

Question ID: 1214758

Changes in a fixed-coupon bond's cash flows that result from changes in yield would be reflected in the bond's:

A) effective duration.

B) modified duration.

C) Macaulay duration.

Question #97 of 120

Question ID: 1214756

Four non-convertible bonds have the indicated yield spreads to Treasury securities:

	Maturity	Government Spread	Zero- Volatility Spread	Option- Adjusted Spread
Bond W	2 years	156 bp	155 bp	130 bp
Bond X	3 years	173 bp	174 bp	199 bp
Bond Y	5 years	188 bp	189 bp	164 bp
Bond Z	10 years	202 bp	201 bp	226 bp

Based on these spreads, it is *most likely* that:

A) Bond X is callable, and Bond Y is putable.
B) Bond W is callable, and Bond Z is putable.
C) Bond Z is callable, and the spot yield curve is inverted.

Question #98 of 120

Question ID: 1214755

Based on the following interest rates:

1-year spot rate	3.0%
1-year forward rate one year from now	5.0%
2-year forward rate one year from now	6.5%

The 3-year spot rate is *closest to*:

A) 5.0%.
B) 5.3%.
C) 9.3%.

Question #99 of 120

Question ID: 1214751

A step-up coupon bond is structured such that its coupon rate increases:

A) on a predetermined schedule.
B) if a reference interest rate increases.
C) if the issuer’s credit rating decreases.

Question #100 of 120

Question ID: 1214769

Questions 100 through 106 relate to Derivatives. (10.5 minutes)

Based on parity relations for options prices, the value of a put minus the value of a call (on the same asset with same exercise prices) must equal:

A) the price of a forward contract on the asset minus the present value of the option exercise price.
B) the present value of the price of a forward contract on the asset minus the option exercise price.
C) the present value of the difference between the option exercise price and the price of a forward contract on the asset.

Question #101 of 120

Question ID: 1214767

The price of a forward contract:

A) is stated in the contract.
B) equals zero at contract initiation.
C) may fluctuate during the contract's life.

Question #102 of 120

Question ID: 1214765

Two Level I CFA candidates are discussing futures and make the following statements:

Candidate 1:	Futures are traded using standardized contracts. They require margin and incur interest charges on the margin loan.
Candidate 2:	If the margin balance falls below the maintenance margin amount due to a change in the contract price for the underlying assets, the investor must add funds to bring the margin back up to the initial margin requirement.

Are the candidates' statements correct or incorrect?

A) Both statements are correct.
B) Neither statement is correct.
C) Only one of the statements is correct.

Question #103 of 120

Question ID: 1214766

Which of the following statements for puts at expiration is *least accurate*? The:

A) put buyer's maximum loss is the put option's premium.
B) maximum loss to the writer of a put is the strike price less the premium.
C) put holder will exercise the option whenever the stock's price is greater than the exercise price.

Question #104 of 120

Question ID: 1214768

At initiation of a forward contract and a futures contract with identical terms, their prices are *most likely* to be different if:

A) the spot price is highly volatile.
B) the forward contract is marked to market daily.
C) short-term interest rates are negatively correlated with futures prices.

Question #105 of 120

Question ID: 1214770

Other things equal, a decrease in the value of a put option on a stock is *most likely* consistent with which of the following changes in the risk-free rate and stock return volatility?

	Risk-free rate	Volatility
A)	Increase	Decrease
B)	Decrease	Increase
C)	Decrease	Decrease

Question #106 of 120

Question ID: 1214771

An American put option on a stock is *most likely* to have a higher value than an otherwise identical European put option:

A) if the stock pays a dividend.
B) when the options are at the money.
C) when the options are in the money.

Question #107 of 120

Question ID: 1214772

Questions 107 through 113 relate to Alternative Investments. (10.5 minutes)

Compared to the standard deviation of returns on a repeat sales index for a class of real estate properties, the standard deviation of returns on an appraisal index for the same class of properties is *most likely* to be:

A) lower.
B) higher.
C) the same.

Question #108 of 120

Question ID: 1214785

Compared to brownfield infrastructure investments, greenfield infrastructure investments are more appropriate for investors with:

A) lower liquidity needs and lower risk tolerance.
B) higher risk tolerance and shorter time horizons.
C) longer time horizons and lower liquidity needs.

Question #109 of 120

Question ID: 1214773

Which of the following is *least likely* a type of hedge fund strategy?

A) Event-driven.

B) Market-neutral.

C) Exchange-traded.

Question #110 of 120

Question ID: 1214774

Compared with purchasing commodities, long positions in commodity derivatives offer the benefit of:

A) no storage costs.

B) convenience yield.

C) better correlation with spot prices.

Question #111 of 120

Question ID: 1214775

Returns on which of the following alternative investments are *most likely* to include a liquidity premium?

A) Private equity funds.

B) Commodity-linked ETFs.

C) Real estate investment trusts.

Question #112 of 120

Question ID: 1214776

The risk measure for alternative investments that is *least likely* to be affected by tendency of returns to be leptokurtic is:

A) the Sortino ratio.

B) standard deviation.

C) coefficient of variation.

Question #113 of 120

Question ID: 1214777

If a commodity market is in backwardation:

A) it produces a negative roll yield.

B) futures contract prices are less than the spot prices.

C) a long futures position will increase in value as contracts approach expiration.

Question #114 of 120

Question ID: 1214781

Questions 114 through 120 relate to Portfolio Management. (10.5 minutes)

An investment advisor constructs a portfolio that plots on the capital market line but has less risk and a lower return than the market portfolio. This portfolio is *most accurately* described as:

A) a lending portfolio.
B) a leveraged portfolio.
C) an inefficient portfolio.

Question #115 of 120

Question ID: 1214779

Smith has more steeply sloped risk-return indifference curves than Jones. Assuming these investors have the same expectations, which of the following *best* describes their risk preferences and the characteristics of their optimal portfolios? Smith is:

A) less risk averse than Jones and will choose an optimal portfolio with a lower expected return.
B) more risk averse than Jones and will choose an optimal portfolio with a lower expected return.
C) more risk averse than Jones and will choose an optimal portfolio with a higher expected return.

Question #116 of 120

Question ID: 1214784

A stock has a beta of 0.9 and an estimated return of 10%. The risk-free rate is 7%, and the expected return on the market is 11%. According to the CAPM, this stock:

A) is overvalued.
B) is undervalued.
C) is properly valued.

Question #117 of 120

Question ID: 1214778

In which step of the portfolio management process does an investment manager rebalance the portfolio to its target asset allocation percentages?

A) Analysis step.
B) Feedback step.
C) Execution step.

Question #118 of 120

Question ID: 1214780

Which of the following possible portfolios cannot lie on the efficient frontier?

Portfolio	Expected Return	Standard Deviation
1	8%	6%
2	10%	6%
3	14%	12%
4	14%	16%

A) Portfolio 3 only.

B) Portfolios 1 and 4.

C) Portfolios 2 and 3.

Question #119 of 120

Question ID: 1214782

Which of the following terms refer to the same type of risk?

A) Total risk and the variance of returns.

B) Systematic risk and firm-specific risk.

C) Undiversifiable risk and unsystematic risk.

Question #120 of 120

Question ID: 1214783

Greenbaum, Inc. stock pays no dividend and currently trades at $54. Based on the CAPM and assuming an expected return on the market of 12% and a risk-free rate of 8%, the expected price for Greenbaum one year from now is $62. The beta of Greenbaum shares is *closest* to:

A) 1.5.

B) 1.6.

C) 1.7.